

9-2b Straight-Line Method

The

straight-line method (A method of depreciation that provides for equal periodic depreciation expense over the estimated life of a fixed asset.)

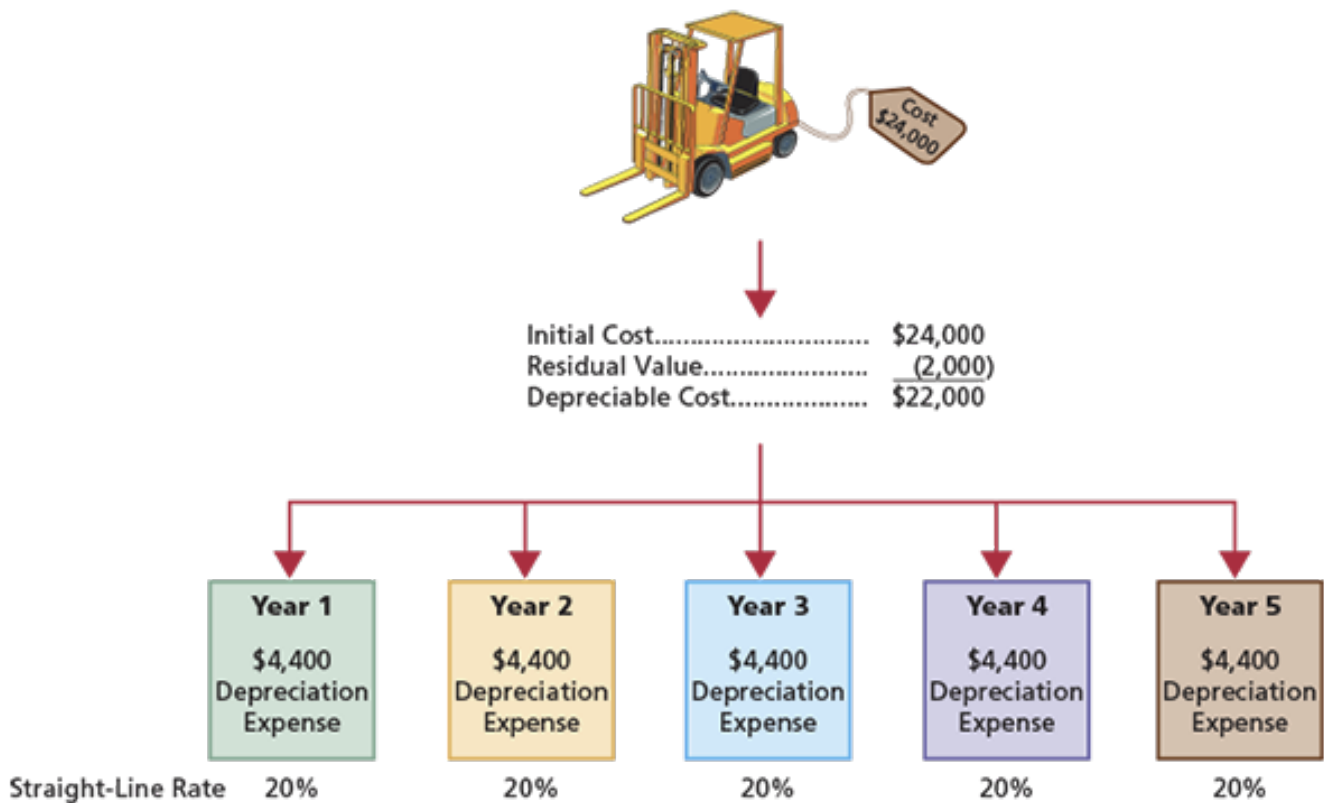
provides for the same amount of depreciation expense for each year of the asset’s useful life. The annual straight-line depreciation for Exeter’s forklift is \$4,400, computed as follows:

$$\text{Annual Depreciation} = \frac{\text{Cost} - \text{Residual Value}}{\text{Useful Life}} = \frac{\$24,000 - \$2,000}{5 \text{ Years}} = \$4,400$$

The straight-line method reports the same amount of depreciation expense each year, as illustrated in Exhibit 4.

Exhibit 4

Straight-Line Method



Computing straight-line depreciation may be simplified by converting the annual depreciation to a percentage of depreciable cost. The straight-line percentage is determined by dividing 100% by the number of years of expected useful life, computed as follows:

Expected Years of Useful Life	Straight-Line Percentage
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5 years	20% (100% ÷ 5)
8 years	12.5% (100% ÷ 8)
10 years	10% (100% ÷ 10)
20 years	5% (100% ÷ 20)
25 years	4% (100% ÷ 25)

For the preceding equipment, the annual depreciation of \$4,400 can be computed by multiplying the depreciable cost of \$22,000 by 20% (100% ÷ 5).

Depreciation of the forklift for the first year using the straight-line method is recorded as follows:

Dec. 31	Depreciation Expense—Forklift		4,400	
	Accumulated Depreciation—Forklift			4,400

Assets	=	Liabilities	+	Stockholders' Equity
Accumulated Depreciation				Depreciation Expense
<u>4,400</u>				<u>4,400</u>

Accumulated depreciation accounts are called *contra accounts*, or *contra asset accounts*. This is because accumulated depreciation accounts are deducted from their related fixed asset accounts on the balance sheet. The difference between the fixed asset account and its related accumulated depreciation account is called the asset's book value or *net book value of the asset*.

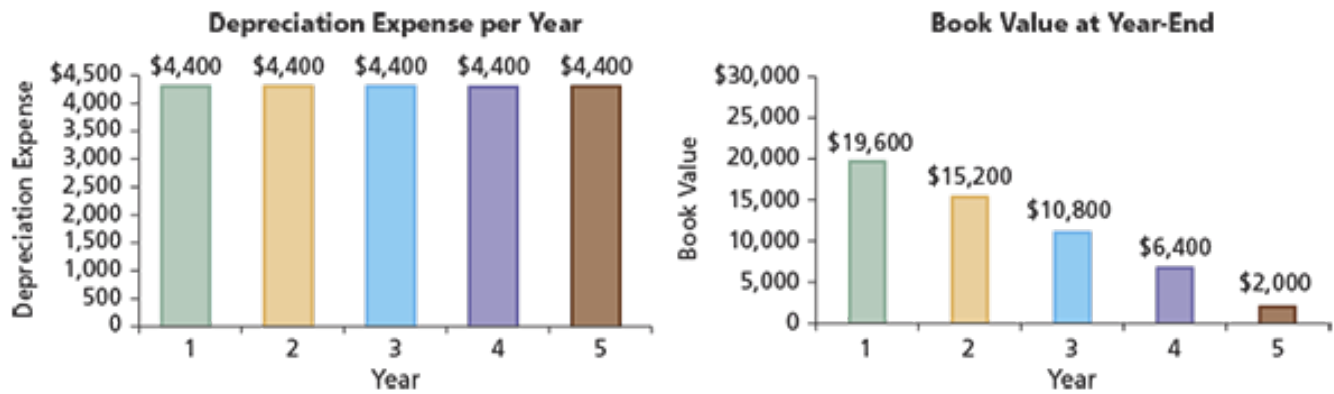
The book value of the forklift at the end of the first year is \$19,600. It would be reported on the balance sheet as follows:

Equipment	\$24,000
Accumulated depreciation	(4,400)
Book value	<u>\$19,600</u>

As shown in [Exhibit 5](#), as depreciation expense is recorded each year, the book value of the forklift will decrease. The book value at the end of the asset's useful life will equal its residual value.

Exhibit 5

Straight-Line Method: Depreciation Expense and Book Value



The straight-line method is simple to use. When an asset's revenues are about the same from period to period, straight-line depreciation provides a good matching of depreciation expense with the asset's revenues.

Chapter 9: Long-Term Assets: Fixed and Intangible: 9-2b Straight-Line Method

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